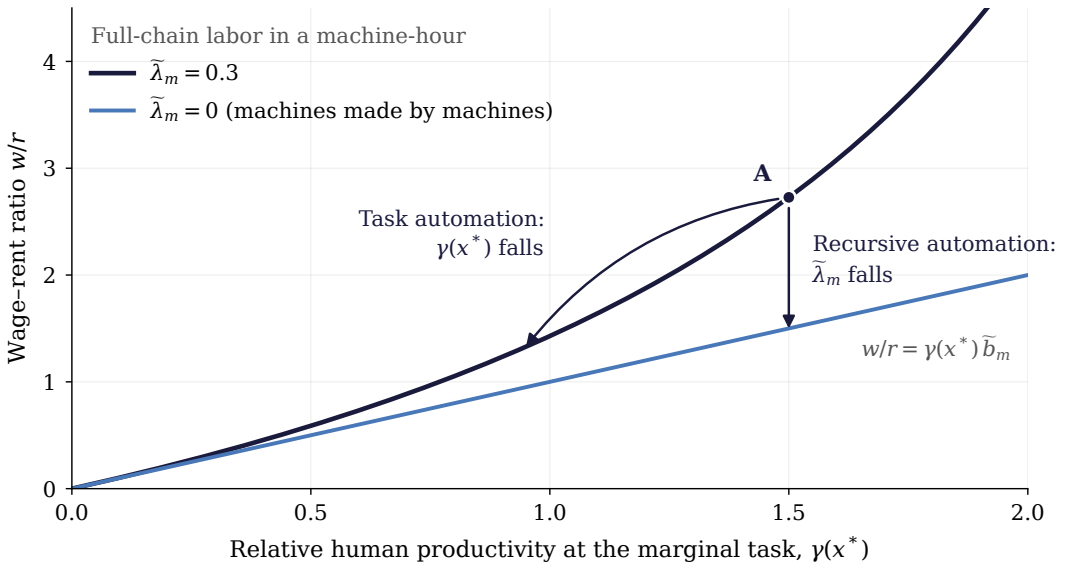
Full-chain labor in a machine-hour
$\widetilde{\lambda}_m = 0.3$
$\widetilde{\lambda}_m = 0$ (machines made by machines)
A
Task automation:
$\gamma(x^*)$ falls
Recursive automation:
$\widetilde{\lambda}_m$ falls
$w/r = \gamma(x^*)\,\widetilde{b}_m$
Wage–rent ratio w/r
Relative human productivity at the marginal task, $\gamma(x^*)$
0
1
2
3
4
0.0
0.5
1.0
1.5
2.0